

5

Luke invested £4000 in a savings account for 3 years.
Compound interest was paid at a rate of 1.8% each year.

Alexa also invested £4000 in a savings account for 3 years.
Simple interest was paid at a rate of 1.8% each year.

Luke got more interest than Alexa in total over the 3 years.

How much more?

You must show all your working.

£.....

(Total for Question 5 is 4 marks)